

For both hot and cold storage, there are two options for controlling the private key that the innovative investor can choose from, creating a quadrant of four options in total (Figure 14.1). Most exchanges, for example, take care of the private key for the customer, so that all the customer has to do is log into the exchange as with any typical website. These exchanges qualify as a hot wallet where a third party controls the private key. Services such as Coinbase provide cold storage where a third party still controls the private key. In situations where a third party controls the private key, often the service doesn't have a private key for each customer's assets. Instead, the service will have a few private keys that secure a large number of clients' assets, and those keys are guarded very carefully.